

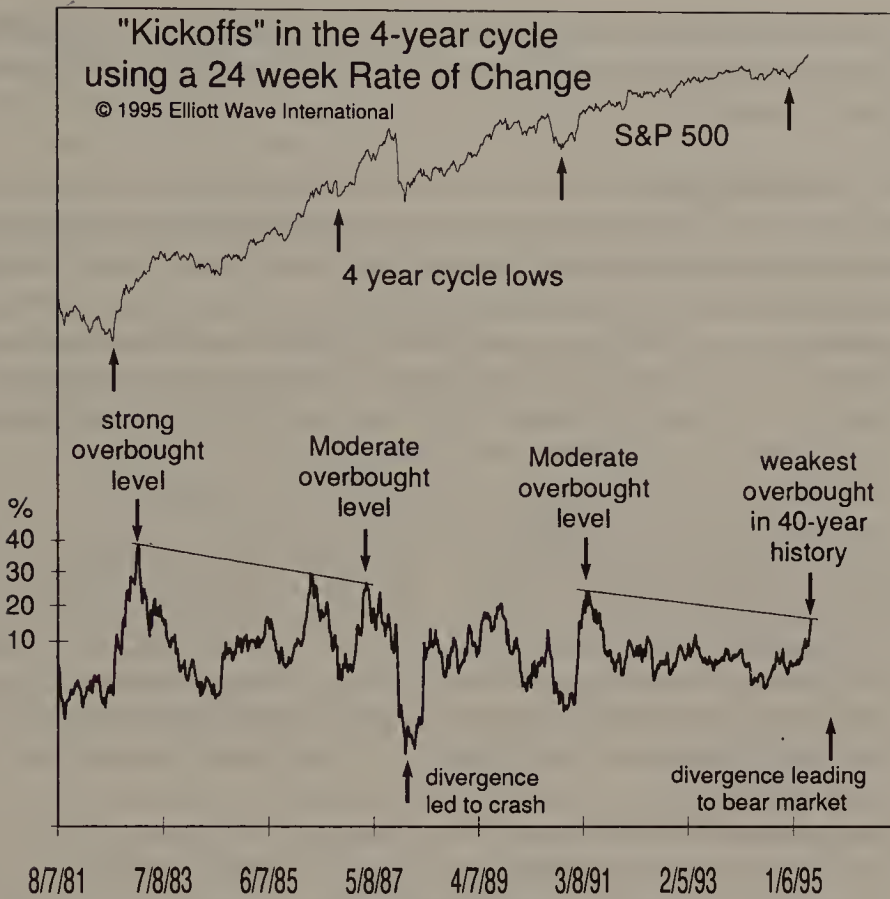


Figure B-14

This weak overbought condition here in the second quarter of 1995 also confirms our conclusion that longer term cycles, such as the 8-, 12- and 20-year rhythms, are exerting powerful downside pressure, dampening the effect of the 4-year cycle. If the longer cycles were up, the shorter one would be expected to exert upside pressure for another two years. However, with other cycles down, there remains every reason to believe that this 4-year cycle will be "left-hand translated" and create a market top early in the cycle.

CYCLES AND PSYCHOLOGY

Ten to twelve years ago, analysts following the four year cycle (which had regularly produced stock market lows every four years from 1954 to 1982), the closely related presidential cycle (which shows that the average four year Presidential term produces two down years followed by two up years), and the Kondratieff cycle were *bearish* for **1985-1986**. *The Elliott Wave Theorist* both antici-